

TATA CONSULTANCY SERVICES LIMITED (TCS)

ANNUAL REPORT - FISCAL YEAR 2023

For the fiscal year ended March 31 (figures translated to USD millions)

Fiscal period: Annual

Fiscal year: 2023

SAMPLE DOCUMENT - Illustrative figures prepared for product demonstration. Values are approximate and must not be used for investment decisions.

BUSINESS OVERVIEW

Tata Consultancy Services Limited provides information technology services, consulting, and business solutions worldwide. In fiscal year 2023 the company served clients across the following industry segments: Banking and Financial Services, Retail and CPG, Communication Media and Technology, and Manufacturing. The company delivers application development, cloud migration, cognitive business operations, and enterprise platform services through its global network of delivery centers.

Principal executive offices are maintained in the company's home market, and operations are conducted through subsidiaries and branches in major regions worldwide. The consolidated financial statements presented in this annual report cover the results of operations, financial position, and cash flows for fiscal year 2023 and, where presented for comparison, the prior fiscal year.

RESULTS OF OPERATIONS

Key financial metrics for fiscal year 2023 (amounts in millions of US dollars, ratios and margins as stated):

Total revenue: \$27,927 million

Revenue growth (year-over-year): 9.4%

Gross profit: \$8,270 million

Gross margin: 29.6%

Operating income: \$6,470 million

Operating margin: 23.2%

Net income: \$6,163 million

Net margin: 22.1%

EBITDA: \$7,050 million

EBITDA margin: 25.2%

Earnings per share (basic): \$1.70

Consolidated balance sheet data:

Total assets: \$19,800 million

Total liabilities: \$5,900 million

Total equity: \$13,900 million

Cash and equivalents: \$2,100 million

Total debt: \$600 million

Key ratios:

Current ratio: 2.15

Quick ratio: 2.15

Debt-to-equity: 0.04

Return on equity: 47.0%

Return on assets: 31.1%

Price-to-earnings ratio: 27.5

Cash flow data:

Operating cash flow: \$6,600 million

Capital expenditures: \$750 million

Free cash flow: \$5,850 million

Management commentary on results of operations:

Management's discussion and analysis of financial condition and results of operations is based on the company's consolidated financial statements for fiscal year 2023. The top line increased during the year as reflected in the consolidated statements of operations. Operating performance was supported by the company's Banking and Financial Services, Retail and CPG, Communication Media and Technology, and Manufacturing portfolio, while operating expenses reflected continued investment in research and development, go-to-market capacity, and infrastructure. Within the results of operations, cost of revenue and operating expenses are presented by natural classification in the accompanying statements. Selling, general and administrative expenses remained broadly stable as a share of the top line, and the company continued its share repurchase and dividend programs where applicable. Management believes that cash on hand together with cash generated from operations is sufficient to fund operations, capital expenditures, and financing activities for at least the next twelve months.

FINANCIAL STATEMENTS

Consolidated Statements of Operations - Fiscal Year 2023

Total revenue: \$27,927 million

Cost of revenue: \$19,657 million

Gross profit: \$8,270 million

Operating expenses: \$1,800 million

Operating income: \$6,470 million

Net income: \$6,163 million

Earnings per share (basic): \$1.70

Consolidated Balance Sheets - End of Fiscal Year 2023

Total assets: \$19,800 million

Total liabilities: \$5,900 million

Total equity: \$13,900 million

Cash and equivalents: \$2,100 million

Total debt: \$600 million

Consolidated Statements of Cash Flows - Fiscal Year 2023

Operating cash flow: \$6,600 million

Capital expenditures: \$750 million

Free cash flow: \$5,850 million

RISK FACTORS

The company's business, operating results, and financial condition are subject to the following risks, among others. Competitive intensity in banking and financial services could pressure pricing and market share. Fluctuations in foreign currency exchange rates may materially affect reported results. Regulatory changes, including data privacy, environmental, and trade regulations, could increase compliance costs. The company depends on a limited number of key suppliers and contract manufacturers; disruption could delay product shipments. Cybersecurity incidents or service outages could harm customers and reputation. Litigation and regulatory investigations, including class action lawsuits relating to product and commercial matters, could result in significant costs and adverse outcomes. Customer concentration in certain segments may amplify the effect of demand changes.

LIQUIDITY AND CAPITAL RESOURCES

Cash and equivalents were \$2,100 million at the end of fiscal year, and total debt stood at \$600 million. Cash provided by operating activities was \$6,600 million. Capital expenditures were \$750 million, and free cash flow

was \$5,850 million. The company's liquidity position is supported by committed and uncommitted credit facilities with major financial institutions, together with access to commercial paper markets where applicable. Contractual obligations include operating lease commitments, purchase obligations for inventory and manufacturing services, and debt maturities.

NOTES TO FINANCIAL STATEMENTS

Note 1 - Basis of presentation: The consolidated financial statements have been prepared in accordance with accounting principles generally accepted in the United States of America (or, where applicable, local GAAP) and include the accounts of the company and its wholly owned subsidiaries. Note 2 - Summary of significant accounting policies: Revenue is recognized when control of promised goods or services is transferred to customers. The company's independent registered public accounting firm audited the consolidated financial statements and issued an unqualified audit opinion stating that the statements present fairly, in all material respects, the financial position of the company. Note 3 - Revenue by segment: Segment information for Banking and Financial Services, Retail and CPG, Communication Media and Technology, and Manufacturing is presented in Note 12. Note 4 - Inventories. Note 5 - Property, plant and equipment. Note 6 - Long-term debt. Note 7 - Leases. Note 8 - Income taxes. Note 9 - Commitments and contingencies, including certain litigation matters and regulatory investigations disclosed in the risk factors section. Note 10 - Stockholders' equity. Note 11 - Earnings per share. Note 12 - Segment information.

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